

(e) Further Summary Statistics

Students should be taught to use:

simple index numbers;

chain base numbers;

$$\text{Price relative} = \frac{\text{price}}{\text{price in base year}} \times 100$$

Used to calculate the annual percentage change.

Content

weighted index numbers;

Retail Price Index (RPI).

Notes

Weighted index number

$$= \frac{\Sigma(\text{index number} \times \text{weight})}{\Sigma(\text{weight})}$$

What items are in the index, how items change over time, how prices are established from survey, how the index is used in assessing real price change and the limitations.